Ryanair DCF: valuation model and methodology

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Summary

Ten-year unlevered DCF of Ryanair (FY26 to FY35). Growth fades to the terminal rate, and reinvestment and the terminal value are tied to growth. The base case gives an equity value of €35,836m, or €33.59 per share, which is 28.3% above the current price. The conservative and optimistic scenarios give €26.44 and €41.59. Terminal value is 60.4% of enterprise value.

1. Method

Element	How it works	Reason	Cells
Cost of equity	Risk-free 2.86% + adjusted beta 1.0067 x ERP 6.0% = 8.90%. Adjusted beta = 1/3 x 1 + 2/3 x raw beta (1.01).	Blume adjustment, the same formula as Bloomberg Adjusted Beta.	WACC!F10, F14
WACC	94.8% equity (market cap 27,500) at 8.90% and 5.2% debt (1,500) at 3.0% after 10% tax = 8.58%.	Market-value weights.	WACC!F22
Revenue growth	FY26 at 9.09%. From FY27 growth falls by (start growth - TGR) / 9 a year, reaching 1.50% in FY35.	Growth converges to the terminal rate, so there is no jump into the terminal year.	DCF!P41:X43, D18
Reinvestment	Reinvestment rate = growth / RONIC. FY26 stays at 47.5% of NOPAT (RONIC 19.1%). RONIC then fades in equal steps to WACC in FY35, reaching a 17.5% reinvestment rate. CapEx and working capital follow it.	CapEx and the working capital inflow were sized for 9% growth. They now shrink as growth falls.	DCF!P60:X65
Free cash flow	NOPAT (EBIT margin 17.2%, tax 10%) minus net reinvestment (CapEx - D&A + change in NWC). FY26 uses D&A 8.05%, CapEx 18.28% and NWC -2.87% of sales.	FY26 levels are normalised averages of FY17 to FY19 and FY24 to FY25.	DCF rows 45 to 66
Terminal value	Terminal FCF = NOPAT FY35 x (1+g) x (1 - g/WACC). TV = terminal FCF / (WACC - g).	RONIC = WACC in the terminal year, so it continues the FY35 reinvestment rate of 17.5%.	DCF!Y54:Y66, X73

Base case growth path FY26 to FY35: 9.09%, 8.25%, 7.40%, 6.56%, 5.72%, 4.87%, 4.03%, 3.19%, 2.34%, 1.50%. Reinvestment rate: 47.5%, 45.9%, 44.1%, 42.0%, 39.6%, 36.7%, 33.3%, 29.2%, 24.0%, 17.5%.

2. Base case valuation

EUR m	Base case
Revenue FY35	23,305
NOPAT FY35	3,612
Unlevered FCF FY35	2,981
Terminal-year FCF	3,025
Terminal value	42,711
PV of terminal value	21,090
Sum of PV of FCF FY26 to FY35	13,846
Enterprise value	34,936
Cash	2,400
Debt	1,500
Equity value	35,836
Diluted shares (m)	1,066.8
Implied price per share (EUR)	**33.59**

3. Scenarios and sensitivity

Scenario	Growth FY26 to FY35	EBIT margin	WACC / TGR	Price (EUR)
Conservative	7.0% to 1.0%	16.0%	9.2% / 1.0%	26.44
Base / Street	**9.1% to 1.5%**	**17.2%**	**8.58% / 1.5%**	**33.59**

Scenario	Growth FY26 to FY35	EBIT margin	WACC / TGR	Price (EUR)
Optimistic	11.0% to 2.0%	18.5%	8.2% / 2.0%	41.59

The sensitivity table covers WACC 7.5% to 10.0% and TGR 0.5% to 2.5%, with growth fading to the TGR of each column. The value ranges from €28.01 to €39.84 and the base cell equals the DCF price.

4. Consistency checks

- FY35 growth equals the terminal growth rate in every scenario. The reinvestment rate falls smoothly from 47.5% in FY26 to 17.5% in FY35 and stays there in the terminal year, so FCF moves from 2,981 to 3,025 with no jump.
- All cells are live formulas. The scenario table and the sensitivity table use explicit formulas on the Calc sheet, with no Excel data table. The scenario switch (DCF!D11:D14) reproduces the scenario table prices.
- The workbook recalculates with no errors in LibreOffice.

5. Known weak points

- Tax at 10% against Pillar Two. A 15% rate would give about €31.5 per share.
- FY26 FCF is not prorated for the stub period.
- The "Total Debt 10,470" label in the Ratios balance sheet table is actually total liabilities.
- Leases are not added to debt separately.
- The RONIC path (19.1% in FY26 fading to WACC in FY35) is an analyst assumption.